ACADEMICS
No.7 Jul.2018
General No.242

J. A. Hobson and Underconsumption〔*〕

Zhou Qiang[1], Prum Michel[2]
(1. School of Government Peking University, Beijing 100871;
2. School of EILA Paris Diderot University Paris 7, Paris 75013)

Abstract: When Tony Blair and New Labour came to office in Britain late in the 20th century, John Atkinson Hobson (1858 - 1940) was rediscovered and republished. In spite of his prolific work (over 50 books), he had sunk into oblivion. Yet John Maynard Keynes paid tribute to him (The General Theory of Employment, Interest and Money, 1936) and recognized his debt to this "heretic" of economics. Hobson's contribution to the history of economic thought is a major one, thanks to his stimulating analysis of under - consumption. His book Imperialism, A Study (1902) was Lenin's bedside reading. But Hobson was no socialist: he was a "New Liberal", belonging to a group of theoreticians who thought that classical liberalism had to be changed radically if it was to have any future.

Key words: J. A. Hobson; underconsumption; Keynes; new liberal economics; social body theory

DOI: 10.3969/j. issn. 1002 - 1698. 2018. 07. 020

We know that Great Britain has been the cradle of liberalism. This doctrine, which was to become so important in the United States and in the countries that are referred to under the umbrella term of "the West", was born in England, say in the 18th century with Adam Smith and later David Ricardo, Thomas Malthus and John Stuart Mill, though these thinkers built on the work of more ancient theoreticians, in particular John Locke (1690). The word lib-

About the author: Zhou Qiang, Ph D, assistant professor at the School of Government, Peking University; Prum Michel, professor (excellent level) in the School of EILA, Paris Diderot University Paris 7.

〔* 〕Phased achievements of research project sponsored by National Social Science Fund in 2015 "Asset Specificity and Its Impacts on Political Attitudes and Behavior of Various Social Interest Groups in China" (15BZZ027).

eral has a wide range of meanings. Being a "liberal" in the United States, in France or in Britain does not amount to the same thing. In the United States, those who defend abortion ("pro-choice" as opposed to "pro-life"), or those who defend the rights of minorities are called "liberals". So "liberal" refers to the "left wing" of the political spectrum, whereas in France it is associated with the "right wing". In economics, being liberal means advocating free enterprise and market economics, as opposed to economic planning; supporting supply economics as opposed to demand economics.

In liberal economics, desires or preferences are taken as given and beyond discussion. These desires are expressed in the market in terms of what people buy and what they are willing to pay. Liberalism which, as we mentioned, likes to identify with the critical, questioning approach, adopts here an attitude towards desires which is strikingly uncritical and unquestioning. It seldom asks where those desires come from, or how they may have been formed. The social origin of desires and preferences is generally ignored by liberal theory. For liberals, the desires and preferences are simply there. They are part of the individual's nature. The consumer is a kind of Robinson Crusoe, naturally equipped with his or her tastes and aspirations. The market is the mirror of human preferences.

At the end of the day, the sum of each individual's egoism was the basis for an active and coherent society. This is what Adam Smith called "the invisible hand". Yet this doctrine, which seemed to focus exclusively on the individual at the expense of society, was to be challenged among the liberals' own ranks early in the 20th century by a new school of liberals, named the New Liberals. By far the most famous of them is the economist John Maynard Keynes who wrote his magnum opus in 1936: The General Theory of Employment, Interest and Money. Keynes rejected the liberal tradition dating back to Adam Smith that there was a natural harmony of individual interests (the invisible hand), and that "private vices" eventually led to "public virtues". But he was not the only "New Liberal". One has to mention the so-called "two Hobs", Hobson and Hobhouse, or Thomas Hill Green. We will not present Leonard Trelawny Hobhouse or T. H. Green though their contributions were also of great interest — but in this paper we will concentrate on John Atkinson Hobson, usually called J. A. Hobson.

Ⅰ. Theory of underconsumptionism and its origin

The Russian revolutionary leader and founder of the USSR, Lenin, read and admired Hobson, in particular his book entitled Imperialism, a Study. The book was on his bedside. It shows how important it was for Lenin. Imperialism, a Study was published in 1902, that is to say 3 years before the Bolsheviks' first attempt at a social revolution in Russia (in 1905). Yet one must not hastily conclude that Hobson was a socialist, let alone a communist. He was a true liberal. Just like Keynes or the other New Liberals, Hobson wanted to strengthen British liberalism, and not to weaken it or destroy it. To cut a long story short, his purpose was to jettison what he felt was not essential in liberalism, in order to keep the system afloat, or to carry on with the same metaphor to prevent the ship from sinking.

More than an economist, Hobson was a politician. His project was to reconcile the conflict between the workers and the middle classes. To reach that end, it was necessary, he thought, to reduce unemployment and poverty. Economics was therefore only a tool, an instrument to achieve this reconciliation. G. D. H. Cole, in the obituary he wrote after Hobson's death, is very clear about it. Hobson was interested in economic theories only in as much as they directly contributed to the prosperity of society. "Hobson was never mainly an economist in any narrow sense of the term. (…) He became an economist because he was already a social reformer, seeking a solution to the problems of poverty" (Cole 1940: 352). Hobson used to quote John Ruskin: "There is no wealth but life" (Ruskin 1985: 222). This quotation is emblematic of Hobson's views on economics.

Hobson went down in history for two things: his contribution to the study of imperialism and his contribution to the theory of under-consumption. We will concentrate in this paper on the second point, though the two are of course linked. The theory of under-consumption, sometimes called underconsumptionism, dates back to Thomas Malthus in Britain and Sismondi in France. One of the main followers of Hobson, as far as underconsumptionism is concerned, is Keynes himself, who acknowledged his debt to Hobson.

As Michael Schneider put it, Hobson is probably "the most important underconsumptionist in the 20th century" (Schneider 1994: 103). But what is underconsumptionism? To put it in a nutshell, it is a theory that explains economic depressions by the inadequacy of consumption, which is itself linked to the low purchasing power. The products made by industry do not find an outlet inside the country because of a shortage of buyers able to purchase them. Demand, or, to be more accurate, solvent demand what Keynes was to call effective demand does not match supply. Thus in The Problem of the Unemployed (1896), Hobson wrote: "Why is it that, with a wheat-growing area so huge and so productive that in good years whole crops are left to rot in the ground, thousands of English labourers, millions of Russian peasants, cannot get enough bread to eat? Why is it that with so many cotton-mills in Lancashire that they cannot all be kept working for any length of time together, thousands of people in Manchester cannot get a decent shirt to their backs? Why is it that, with a growing glut of mines and miners, myriads of people are shivering for lack of coal? These questions are not conceived in a spirit of sensationalism, but merely to bring home the nature of the vital problem which is forced more and more upon thinking men and women." (Hobson 1992: 54)

The word itself ("under – consumption") has not been coined by Hobson. As R. E. Backhouse indicates in an article devoted to American economist F. A. Walker (Schneider 1994: 121 n), the term was probably coined in the United States. Backhouse mentions the appearance of this new word in Money and Trade, a book published in New York in 1879, that is to say ten years before The Physiology of Industry by Hobson and Mummery.

As we previously suggested, the theory of underconsumptionism is more ancient than the term. It may be traced back to the early 19th century. The most famous supporters of that theory are Lord Lauderdale and Thomas Malthus in Britain, Simonde de Sismondi in France, or Karl Rodbertus in Germany.

This underconsumptionist trend opposes the theory of markets conceived by French economist Jean – Baptiste Say (1767 – 1832). In his Treaty of political economy (Say 1860), he wrote: "It is worthwhile to remark that a product is no sooner created than it, from that instant, affords a market for other products to the full extent of its own value. When the producer has put the finishing hand to his product, he is most anxious to sell it immediately, lest its value should diminish in his hands. Nor is he less anxious to dispose of the money he may get for it; for the value of money is also perishable. But the only way of getting rid of money is in the purchase of some product or other. Thus the mere circumstance of creation of one product immediately opens a vent for other products." (Say 1860: 138) To put it in other words, aggregate supply creates its own aggregate demand.

Likewise, David Ricardo concentrated all his attention on production. In the wording of Sismondi, Ricardo imagined that "production, by creating means of exchange, created consumptions". According to Ricardo, again in the words of Sismondi, "one should never fear that goods produce a glut in the market, whatever quantity may have been produced by human industry". (Sismondi 1971: 343)

In the controversy that opposed him to Ricardo, Malthus shifts the emphasis from production to consumption. In his Principles of Political Economy (1820), Malthus shows how dangerous it is to push "the habits of parsimony too far afield", which diminishes "effective demand" and leaves the "working classes workless". (Malthus 1989: 469) Keynes, who, after Hobson, was to take up the underconsumptionist theories, was to pay tribute to Malthus opposing Ricardo in this debate. He thus wrote: "If only Malthus, instead of Ricardo, had been the parent stem from which 19th century economics proceeded, what a much wiser and richer place the world would be today". (Hobson and Mummery 1992: vi)

Yet it was Ricardo, instead of Malthus, who successfully convinced his contemporaries and persuaded them that it was necessary to curb expenditures, and to avoid spending too much to stay away from poverty. Hobson quoted this sentence by John Stuart Mill, which encapsulates the dogma of classical economy: "Saving enriches and spending impoverishes the community along with the individual". (Hobson and Mummery 1992: Preface iii) Among classical economists who all believed in supply economics, Malthus was the only one who professed to be a demand economist. No wonder Hobson referred to him.

Ⅱ. "Heretic" economics vs orthodox economics

David Ricardo was Malthus' friend in life, but in their writings the two men often disagreed. Like Malthus, Ricardo was an opponent of the Poor Laws. Unlike Smith, Ricardo did not believe in the harmony of interests. Ricardo, unlike many liberals, emphasized the notion of class, as opposed to a society of individuals (what John Major called a "classless society"). Yet he was, on the whole, a supporter of laissez-faire and free market economics. He shared Malthus's view that welfare benefits had a negative effect on the economy. Therefore Ricardo, though the direct heir of the liberal thought, was also one of the main sources of the socialist thought. A small group of early socialists were called Ricardian Socialists and Karl Marx himself drew on the Principles when he constructed his theory of exploitation.

David Ricardo and John Stuart Mill, when they warned against the risks of too much consumption, were true representatives of a society which unanimously supported the values of saving. This was already the case in 1817, when the first edition of Ricardo's Principles came out. It was to be even more relevant in the 2nd half of the 19th century. When Queen Victoria died, in 1901, Hobson was 43. One can therefore safely say that Hobson was a Victorian. So when he defended the underconsumptionist theory, he had to defend it against the spirit of his age, against the Zeitgeist, against the Victorian ethics which considered saving as one of the cardinal virtues. The most emblematic writer of the period, Samuel Smiles, the author of the Victorian best-seller Self-Help (1859), unsurprisingly entitled one of his books Thrift (1875).

To be true, a few other voices in Victorian England opposed this mainstream tendency to have eyes only for production, and to care very little for consumption. Thus John Ruskin wrote in Unto this Last: "Economists usually speak as if there were no good in consumption absolute. So far from this being so, consumption absolute is the end, crown and perfection of production; and wise consumption is a far more difficult art than wise production". (Ruskin 1985: 217) Ruskin denounced this production which has no end purpose apart from itself: "Capital which produces nothing but capital is only root producing root; bulb issuing in bulb, never in tulip; seed issuing in seed, never in bread". (Ruskin 1985: 218) Hobson was to recognize his debt to Ruskin in his Confessions of an Economic Heretic (1938): "From him I drew the basic thought for my subsequent economic writings, viz. the necessity of going behind the current monetary estimates of wealth,cost,and utility,to reach the body of human benefits and satisfactions which gave them a real meaning".

Yet it was neither Ruskin nor Malthus,nor Sismondi,who converted Hobson. Actually his adoption of underconsumptionism was not due to any reading,but to long conversations which he had with a businessman,A. F. Mummery. Originally,Hobson was not a "heretic" but an orthodox Victorian economist who believed like everyone else in the virtues of saving. (Cole 1940: 355) In the 1880s,there seemed to be a wide gap between the dogma that led the field in universities and the convictions of both businessmen and trade unionists. This second group were in no doubt that under – consumption was to blame for the current depression. So the conflict did not lie between employers and employees,but between people with field experience and academia. As Backhouse put it: "Whilst academic economists minimized the importance of deficiencies in aggregate demand,the same was not true of businessmen and trade unionists. It is impossible to read the evidence presented to the Royal Commission on Depression in Trade and Industry (1886) without noticing the frequent,repeated expressions of support for underconsumptionist ideas". (Hobson and Mummery 1992: vi – vii)

It was therefore the pragmatism of Mummery,and not economic theory, that drove Hobson towards underconsumptionism. It was also the influence of the age. The 1880s were a decade of economic depression and unemployment in England. Unemployment was no new phenomenon then. There was some form on unemployment all along the 19th century it was called "irregularity of employment". But in the 1880s it became a mass phenomenon people worried about and started to study seriously. Charles Booth, Sidney and Beatrice Webb carried out investigations on unemployment in the 80s and early 90s. To address the question of unemployment became Hobson's main preoccupation and this led him to reassess the role of popular consumption.

He published his first book,The Physiology of Industry (1889) ,co – authored by himself and his friend the businessman Mummery. This was to be their only editorial cooperation. Mummery,who was also an Alpinist,died in 1895 while ascending the Himalaya. Hobson was to live a long life (1858 – 1940) . He thus had a lot of time to develop his views in a prolific work that included more than 50 books and many more articles.

In all his contributions,Hobson linked the question of under – consumption to technological progress. If finding markets has become a problem,this is due to the improvements in industrial processes and the organization of enterprises (Hobson 1930: 55) . And it is due above all to the fact that demand has not followed the sharp rise in supply. By supply is meant solvent supply, what Keynes called "effective demand",because demand as such is infinite or,at least,it is far from being completely satisfied. Keynes's theory was intended as a challenge to the orthodoxy of classical economics. He rejected the 19th century view that the "laws" of economics were as unchallengeable as the laws of physics or chemistry. He believed in the possibility of human control over economic life. He also believed in the possibility of economic recovery and progress. He never ceased to be optimistic. He thought that the crisis was just an "unnecessary muddle" and that things could be sorted out. Like Malthus but unlike Smith, Ricardo and John Stuart Mill, Keynes shifted the emphasis from production to demand. The needs of the population are numerous and meeting those demands is not in sight. The potentially huge production is held back by the inadequacy of the home market. (Hobson 1930: 84)

And yet there is wealth in the country. But this wealth is unequally distributed. There is a "maldistribution" of income (Hobson 1930: 55). The inequality of incomes is responsible for inadequate demand. Indeed, on the one hand, producers have to do without what they need; on the other hand, rich capitalists do not know what to do with what Hobson calls their "surplus income", and so they save it or invest it. Hobson does not draw any distinction between saving and investing and uses the word "investment" for both. He quotes a capitalist who says: "I can do nothing with my income(…) but buy more land, build more houses, and lend money on mortgage" (Hobson 1992: 90). He also quotes economist Bonar as saying: "We see as a rule that men who have made money in business are not great spenders of it in the present and have no other notion of spending it than to make new businesses to bring them in future return" (ibid.). Thus great winners are not great spenders.

Ⅲ. Hobson's social body theory and holism

Why do they not spend more? Hobson draws a comparison with the human body. "A man cannot eat and digest a good dinner unless he has made some output of physical energy in exercise". (Hobson 1992: 89) The same applies to society. "A man who draws a large income without working for it cannot or does not spend it" (ibid.). To refer to this "self-accumulation" of capital, Hobson speaks of "automatic saving", just as predictable as an "indigestion after too heavy a dinner". Only the exercise of productive activity can give the appetite to spend. Therefore, the metaphor used by Hobson refers to "natural phenomena". "A large proportion of 'new capital' (…) represents the mere automatic accumulation of an idle surplus of income after all genuine and wholesome needs are fully satisfied. When incomes flow in, yielding a power of consumption disproportionate to the output of personal effort, a natural tendency to 'save' is manifested, which is sharply distinguishable from the reasonable 'saving' made out of legitimate earnings. It is the automatic 'saving' which upsets the balance between consumption and producing power, which from the social standpoint may be classed as 'over-saving'." (Hobson 1992: 91)

Thus Hobson opposes a saving tendency which is natural in that it is un-intended and automatic, just like bad digestion, to intended saving. The latter feeds on legitimate incomes, the former on unearned incomes. We should not be surprised by this biological metaphor. Hobson has an organistic view of society. The social body is for him like a living body, whose constituting parts depend on each other.

In Wealth and Life (1929), he stated that in our modern community, even the most selfish person constantly has to take into account the feelings and opinions of those who are outside his immediate circle. (Townshend 1990: 29) One can talk of Hobson's holism, that is to say a perception of the universe in which the whole is not the mere addition of isolated elements but a global structure that informs and organises its constituting parts. This is a major departure from the liberal tradition which sees society just as a set of individuals. This is one of the contributions of Hobson to liberalism: reassessing society as a place of solidarity.

This social body, like any animal body, can therefore experience good or bad digestion and the surplus income may jeopardize the whole social body. Surprisingly, Hobson seems to under-estimate the capitalists' spending capacity. To be sure, the capitalist has only one stomach, just like the producer. But the demand of consumers' goods from the richest classes may be diversified almost ad infinitum. This is what the American economist Thorstein Veblen called "conspicuous consumption". You consume not just to fill your stomach, but for people to see that you can afford to consume.

Yet even that conspicuous consumption is not able to absorb the surplus income when it reaches unimaginable heights. Thus the leader of a big American computer firm confessed to the Wall Street Journal in 1997: "When your wealth reaches a particular threshold, you realize that nobody really needs all that money". Ted Turner's decision to donate one billion dollars to the UN confirmed, half a century after Hobson's death, the presence of super-incomes which are far too high to be translated into consumption, even luxury consumptions.

What are the solutions advocated by Hobson to solve the problem of under-consumption? If the economic crisis which capitalism is going through comes from a bad distribution of incoms, with some people receiving "surplus incomes" that they just cannot spend while others cannot finance their basic needs, the obvious solution is to reduce the revenues of the former for the benefit of the wages of the latter. "A distribution of purchasing power which would ensure a larger, quicker and more reliable demand for commodities would maintain the full flow of production and the maximum output". (Hobson 1930: 56). Therefore Hobson advocated two types of measures.

To reduce super profits, he suggested to tax them. He advocated a progressive income tax. He also wished to increase death duties. Finally he defended the principle of a tax on the excessive dividends of capital. By "excessive", Hobson meant all that is above the threshold beyond which capital would stop being invested. This tax on the super benefits of capital reminds us of the "windfall tax", which was introduced by Tony Blair and Gordon Brown, which is a tax on privatized utilities (water, gas, electricity).

The other type of measures is a rise in wages. Hobson rejected the theory of classical economics according to which there is a fixed stock of wages, which cannot be increased. A sectorial increase would be possible, but only at the expense of another sector: robbing Peter to pay Paul. Richard Cobden used to say that the law of wages was just as inevitable as the tides or the seasons. Hobson did not accept this view. He encouraged trade unions to press managers for higher wages. He also relied on consumers' associations to do the job, and on voting.

Hobson advocated the reduction of working time with no reduction in wages. This would contribute to lowering the number of unemployed workers. This would open the way to a society of leisure for the people, which would boost demand.

This boost to the economy through consumption is seen as something quite ordinary today but the idea that consumption was not the enemy of production was still revolutionary when Hobson lived. When Hobson wrote: "An individual may be a rich miser, a community cannot" (Hobson 1992: 80), he was not understood. As soon as he published The Physiology of Industry, Hobson was excluded from British academia. For instance Professor Foxwell reported against Hobson who applied for the possibility of teaching in an extension of London University (Schneider 1994: 120). For him the arguments defended in The Physiology of Industry were just as irrational as those defending that the earth is flat.

Ⅳ. Conclusion

Thus Hobson became "the traitor within the gates" (Cole 1940: 354). Conversely, this heretic stand gave him the support of the working class and of the circles around the people's education. But for academia to accept Hobson, one would have to wait for Keynes who was to rehabilitate Hobson. In his magum opus, The General Theory (1936), Keynes devoted 7 pages to Hobson, whom he quoted extensively.

As We mentioned earlier, Hobson was a liberal, a New Liberal. But he was close to the Labour Party, which he eventually joined. Keynes was a convinced liberal and his aim was to rescue and restore capitalism. Paradoxically, it was not the liberals, but the social democrats who inherited the legacy of his thought and who were to enforce his economics in Western Europe in the post 1945 period. After Keynes, Hobson's writings were forgotten. Until the arrival of Tony Blair and New Labour in the late 20th century, when Hobson was rediscovered and his books re-published. Theresa May, for the Conservative Party, and Jeremy Corbyn, for Labour, are both very far away from

Hobson's views, for different reasons, and the Liberal Democrats have almost disappeared. But things may change in the future in the UK and in the West. Hobson might some day be re-rediscovered for a third life.

Notes:

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〔3〕Hobson, J. A., *The Problem of the Unemployed (1896)*, London: Routledge/Thoemmes Press, 1992, introduction by Roger E. Backhouse. Includes (pp. 402-17) the article: "Underconsumption, An Exposition and a Reply" (1933).

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